NATIONAL UNIVERSITY OF SCIENCE AND TECHNOLOGY
B.COM. ACCOUNTING HONOURS DEGREE

COURSE: MANAGEMENT & COST ACCOUNTING II
CODE: CAC 4105

AIM: To study management accounting by exploring issues, techniques, and practices relating to cost control, management control and decision making

COURSE OBJECTIVES:

Further to the objectives spelt out in the introductory course CAC 2105 & CAC 2205 at Part II level, the course is designed to help students develop a comprehensive grasp of knowledge of management accounting techniques and concepts so that at the completion of this course they should be able to:

1. review objectives of management accounting and its role as part of business information systems
2. explain the nature of information, its sources and analysis required for the preparation of management accounting system
3. apply management accounting techniques in planning, control and decision making situations and interpret information available from their use
4. describe, illustrate and comment on the planning and control aspects of standard costing, budgeting and variance analysis
5. identify, discuss and implement a range of product pricing methods applicable in particular market situations
6. discuss the characteristics of strategic management accounting decision including performance evaluation and generally demonstrate skill and knowledge expected of a professional accountant

COURSE OUTLINE

Cost Accounting
More advanced applications of the topics outlined in course CAC 2105 & CAC 2205 (2nd year).

Management Accounting
Nature and objectives. Management Accounting systems - design and relationships to planning, control and decision-making. The economics of information. The importance of information technology to the management accountant. Mengezi

Budgetary Control
Forecasting. Development and use of budgets. Organisational and behavioural aspects. Variances. Reports. Current practices. LIFE

Standard Costing
Meaning and objectives. Systems design. Records, standards, variance analysis and investigation, reporting, behavioural aspects. JOER

Marginal costing and Short-term Decisions
Contribution approach, price/output decisions. Profit planning. Relevant costs. Opportunity costs. Cost behaviour. Cost-Volume-Profit analysis. Melanie

Control
Cost control. Internal control. Reviewing the efficiency and effectiveness of cost management accounting systems. Sthabile

ESSENTIAL READING

1. **Cost Accounting - A Managerial Emphasis** - Latest Edition by Charles T. Horngren and George Foster (Prentice Hall International)
2. **Accounting for Management Control** - 2nd edition by C. Emmanuel, D. Otley and K. Merchant
3. **Advanced Management Accounting - An Organisational Emphasis** - M. Ezzamel and H. Hart (Cassell Education Ltd.)
4. **Advanced Management Accounting** (second edition) - Robert S. Kaplan & Anthony A. Atkinson (Prentice Hall International)
5. **Operational Research Techniques** by S. French, R. Hartley, L.C. Thomas and D.J. White (Edward Arnold).

OTHER REFERENCES

6. **Management and Cost Accounting** - Colin Drury 3rd edition (ELBS).
7. **Multinational Finance** - 2nd edition by Adrian Buckley (Prentice Hall).
8. **Reading in Accounting for Management Control** - edited by C. Emmanuel, D. Otely and K. Merchant.